BOND MEASURE Q
SAN BERNARDINO MOUNTAINS COMMUNITY HOSPITAL DISTRICT

IMPARTIAL ANALYSIS OF BOND MEASURE Q

This Impartial Analysis of Bond Measure Q has been prepared by County Counsel pursuant to Section 9313 of the California Elections Code.

This Measure was placed on the ballot by a resolution adopted by the Board of Directors of the San Bernardino Mountains Community Hospital District (District). A "yes" vote by at least two-thirds of the voters voting on this Measure will authorize the District to issue bonds in the amount of up to $61,000,000 to be used solely for the purposes set forth in this ballot Measure. A "no" vote means that the District will not be authorized to issue and sell up to $61,000,000 in bonds set forth in the Measure.

The District's Resolution was adopted pursuant to California Health and Safety Code section 32301 et seq., Government Code sections 53506 and 53531, and Article XIIIA of the California Constitution.

The bond proceeds may only be used for specific projects listed in "Exhibit B" of the Measure. The "Project List" section of Exhibit B contains the specific projects the District proposes to finance with proceeds from the sale of the bonds authorized by this ballot Measure. These projects include: construction of a new replacement inpatient acute care wing and emergency department to the San Bernardino Mountains Community Hospital (Hospital) building; a new entry, drop-off and pick-up area to improve patient access to the Hospital; upgrades and renovation of the existing inpatient acute care unit for use as long term care beds; infrastructure, utility and systems upgrades; grading and other construction and improvements to the existing receiving and parking areas located adjacent to the Hospital's main entrance and medical office building to improve patient access to the Hospital; and seismic upgrades to keep patients, skilled nursing care residents, doctors, nurses and other employees and visitors safe at the Hospital and to keep the hospital fully functional with temporary power, water and wastewater systems for up to 72 hours if cut off from external utilities during emergency situations.

The District will conduct financial and performance audits annually and all bond expenditures will be monitored by an independent Citizens' Oversight Committee to review the use of bond revenues and determine whether the bond funds were used for proper purposes and review annual financial audits. The District will also create an account into which proceeds of the bonds shall be deposited and comply with the reporting requirements of Government Code section 53410 and prepare annual reports to comply with the requirements of Government Code section 53411.

The bonded debt will be a general obligation of the District and will be financed by taxes levied annually on taxable property located within the District.

LAURA FEINGOLD
County Counsel
s/ JOLENA E. GRIDER
Deputy County Counsel

ARGUMENT IN FAVOR OF BOND MEASURE Q

This Argument in Favor of Bond Measure Q was submitted pursuant to Section 9315 of the California Elections Code. It is the opinion of the author(s), and has been printed exactly as submitted.

Vote YES on Measure Q to Save Healthcare Close to Home.

For 75 years, Mountains Community Hospital (MCH) has been our community-owned lifeline— not a corporate chain. As the only emergency room within 45 minutes, MCH is our vital lifeline close to home during mountain fires, blizzards, earthquakes, and road closures when our communities are cut off from outside help.

Now, our community faces a critical choice. MCH's main building was built in 1951. Strict state earthquake and accessibility mandates require us to upgrade MCH or cease hospital operations, including emergency services. That is why we need Measure Q.

MCH secured a USDA loan to cover most of the costs to make these updates. However, critical federal funding our hospital has relied on was recently cut. Measure Q will provide locally controlled funding to help repay the loan and help cover the remaining construction costs.

ARGUMENT IN FAVOR – Continued on next page

Vote YES on Measure Q to:

- **Save Our Hospital:** Retrofit our aging hospital to meet mandatory state seismic and accessibility standards and make expanded specialized services possible.
- **Guarantee Disaster Readiness:** Upgrade utility, electrical, and plumbing infrastructure so MCH remains fully operational during natural disasters and mountain storms.
- **Build State of the Art Facilities:** Build a modern emergency room and inpatient unit with advanced medical technology, rapid care, and improved patient privacy.
- **Support Mountain Seniors:** Expand skilled nursing services so local seniors receive quality care close to home and near family.

Strict Fiscal Protections & Community Accountability:

- Every penny stays right here in our mountain community. By law, no funds can be taken by Sacramento or the County.
- Mandates an independent citizens' oversight committee and annual audits to guarantee complete transparency.

Protect our lifeline. Vote yes on Measure Q to save healthcare close to home!

s/ Gerald Hinkley, President, Mountains Community Hospital
s/ Robert Mattison, Retired General Manager, Arrowhead Lake Association
s/ Susan Sparks, President, Mountains Community Hospital Foundation
s/ Mary-Justine Lanyon, Editor, Alpine Mountaineer
s/ Virgil Robertson, D.C., Family Nurse Practitioner

TAX RATE STATEMENT FOR BOND MEASURE Q

An election will be held in the San Bernardino Mountains Community Hospital District (the "District") on November 3, 2026, to authorize the sale of up to $61,000,000 in bonds of the District for the specific hospital-related facilities projects listed in the Bond Project List established by the District, as described in the proposition. If the bonds are authorized, the District expects to sell the bonds in one or more series. Principal and interest on the bonds will be payable from the proceeds of tax levies made upon the taxable property in the District. The following information is provided in compliance with Sections 9400-9404 of the Elections Code of the State of California.

1. The best estimate from official sources of the average annual tax rate that would be required to be levied to fund the bond issue over the entire duration of the bond debt service, based on assessed valuations available at the time of the election or a projection based on experience within the same jurisdiction, or other demonstrable factors, is $23.37 per $100,000 of assessed valuation of all property to be taxed. The best estimate of the final fiscal year in which the tax is anticipated to be collected is 2055-56.

2. The best estimate from official sources of the highest tax rate that would be required to be levied to fund that bond issue, and an estimate of the year in which that rate will apply, based on assessed valuations available at the time of the election or a projection based on experience within the same jurisdiction, or other demonstrable factors, is $25 per $100,000 of assessed valuation) of all property to be taxed. The best estimate of the year in which the highest tax rate will apply is anticipated to be 2027-28.

3. The best estimate from official sources of the total debt service, including the principal and interest, that would be required to be repaid if all the bonds are issued and sold is $106,182,725.

Voters should note that such estimated tax rates are specific to the repayment of bonds issued under this authorization and are and will be in addition to tax rates levied in connection with other bond authorizations approved or to be approved by local voters for the District or for any other overlapping public agency.

Voters should note that the estimated tax rate is based on the ASSESSED VALUE of taxable property on San Bernardino County's official tax rolls, not on the property's market value. Property owners should consult their own property tax bills to determine their property's assessed value and any applicable tax exemptions.

TAX RATE STATEMENT – Continued on next page

Attention of all voters is directed to the fact that the foregoing information is based upon the District's projections and estimates only, which are not binding upon the District. The estimates do include calculations based on the low tax exempt interest rate of the portion of the financing anticipated to be secured through the existing United States Department of Agriculture direct loan. The actual tax rates and the years in which they will apply may vary from those presently estimated, due to variations from these estimates in the timing of bond sales, the amount of bonds sold and market interest rates at the time of each sale, and actual assessed valuations over the term of repayment of the bonds. The dates of sale and the amount of bonds sold at any given time will be determined by the District based on need for construction funds and other factors. The actual interest rates at which the bonds will be sold will depend on the bond market at the time of each sale. Actual future assessed valuation will depend upon the amount and value of taxable property within the District as determined by the San Bernardino County Assessor in the annual assessment and the equalization process.

Dated: August 6, 2026.

s/ Mark Turner
Chief Executive Officer
San Bernardino Mountains Community Hospital District

FULL TEXT FOR BOND MEASURE Q

FULL TEXT BALLOT PROPOSITION
OF THE SAN BERNARDINO MOUNTAINS COMMUNITY HOSPITAL DISTRICT
BOND MEASURE ELECTION NOVEMBER 3, 2026

The following is the full proposition presented to the voters by the San Bernardino Mountains Community Hospital District.

"To repair and upgrade 75-year-old Mountains Community Hospital including: fixing deteriorating roofs, plumbing, electrical, and safety systems; upgrading/expanding emergency department, medical technology, and treatments; and maintaining local access to life-saving emergency medical care for accidents, heart attacks, strokes, and other emergencies, shall San Bernardino Mountains Community Hospital District's measure be adopted authorizing $61,000,000 in bonds at legal rates, levying $25 per $100,000 assessed value ($3,500,000 annually) while bonds are outstanding, with independent oversight and all money locally-controlled?"

PROJECT LIST

The Board of Directors of the San Bernardino Mountains Community Hospital District has evaluated the District's urgent and critical facility needs in developing the scope of projects to be funded, including evaluating alternative funding sources. The proposed Project consists of updates, improvements and expansions to the District's facility located at 29101 Hospital Road, Lake Arrowhead, in an unincorporated area of San Bernardino County (the "Hospital"), to meet SB 1953 requirements by January 1, 2030. In 2025, the District issued Bond Anticipation Notes as construction financing, which mature in 2028, to finance a portion of the Project. A portion of the proceeds of the proposed Bonds will be used by the District to refinance the Bond Anticipation Notes at or before their maturity.

The Project is being constructed in phases and will ultimately include:

- Construction of a new replacement inpatient acute care wing and emergency department to the Hospital building,
- A new entry, drop-off and pick-up area, to improve patient access to the Hospital,
- Upgrades and renovation of the existing inpatient acute care unit for use as long term care (skilled nursing) beds,
- Infrastructure, utility, and system upgrades,
- Grading and other construction and improvements to the existing receiving and parking areas located adjacent to the Hospital's main entrance and medical office building, to improve patient access to the Hospital, and
- Seismic upgrades to keep patients, skilled nursing care residents, doctors, nurses, and other employees and visitors safe at the Hospital and keep the hospital fully functional with temporary power, water and wastewater systems for up to 72 hours if cut off from external utilities during emergency situations.

FULL TEXT – Continued on next page

FISCAL ACCOUNTABILITY

THE BOARD OF DIRECTORS WILL APPOINT A CITIZENS' OVERSIGHT COMMITTEE AND CONDUCT ANNUAL FINANCIAL AUDITS TO ASSURE THAT FUNDS ARE SPENT ONLY FOR THE DISTRICT'S HOSPITAL, SKILLED NURSING, AND EMERGENCY DEPARTMENT FACILITY IMPROVEMENTS AND FOR NO OTHER PURPOSE.

NO EMPLOYEE SALARIES

BOND MONEY SHALL BE USED ONLY FOR THE DISTRICT'S HOSPITAL, SKILLED NURSING, AND EMERGENCY DEPARTMENT FACILITIES, AND NOT FOR EMPLOYEE SALARIES AND OTHER OPERATING EXPENSES.

* * *

The listed projects will be completed as needed. Each project is assumed to include its share of architectural, engineering, and similar planning costs, program management, a customary contingency, and escalation for unforeseen design and construction costs. In addition to the listed projects stated above, the Project List also includes the payment of the costs of preparation of all facility planning, facility assessment reviews and master plans, environmental studies, construction documentation, inspection and permit fees, temporary housing of dislocated District activities caused by bond projects, and the refinancing of interim debt or lease obligations issued to advance listed projects. The repair and improvement of Hospital facilities includes the following types of projects: install lighting in receiving and parking areas; repair/replace shade structures; renovate or replace restrooms with modern, safe and accessible facilities; acquire, renovate and construct District buildings and administrative facilities; replace and add more efficient pathway lighting and add security cameras to improve safety; install modern hard surfacing, ramps and pathways to improve safety and accessibility for those with disabilities; improve pedestrian circulation; renovate and replace aging plumbing with modern, higher efficiency pipes, valves, pumps and control/monitoring systems to minimize loss to leaks; retrofit buildings as needed to meet current earthquake safety standards; replace roofing, windows, siding and insulation to seal the structures; remove hazardous materials, like asbestos and lead-based paint, as appropriate; replace aging and leaking roofs and windows; acquire property and easements; install or acquire energy efficiency improvements for buildings, including solar projects; install energy efficient lighting, air conditioning, heating, windows, insulation and ceiling systems; construct, upgrade, repair or install site parking, accessibility, utilities, plumbing, gas lines, general site paving, interior and exterior lighting, water heaters, and boilers; upgrade electrical wiring and systems; renovate and paint interior and exterior building surfaces to extend their useful life; improve security, install safety, security and communication systems, windows and floor coverings (including tiles and carpeting), and other Hospital facilities and improvements.

The allocation of bond proceeds will be affected by the District's receipt of State grant funding and other funding sources for the projects and the final costs of each project. The budget for each project is an estimate and may be affected by factors beyond the District's control. The final cost of each project will be determined as plans are finalized, construction bids are awarded and projects are completed. Based on the final costs of each project, certain of the projects described above may be delayed or may not be completed. Demolition of existing facilities and reconstruction of facilities scheduled for repair and upgrade may occur. Necessary site preparation/restoration and landscaping may occur in connection with new construction, renovation or remodeling, including ingress and egress, removing, replacing, or installing irrigation, utility lines, trees and landscaping, redirecting fire access, and acquiring any necessary easements, licenses, or rights of way to the property.

Bond proceeds shall be expended only for the specific purposes identified herein. The District shall create an account into which proceeds of the bonds shall be deposited and comply with the reporting requirements of Government Code § 53410 and prepare annual reports to comply with the requirements of Government Code § 53411.